Fiscal strains and election risks are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation



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European government bond markets – in a duel with the "Bad"

European government bond spreads have returned to the market's focus. Importantly, spread moves are not purely idiosyncratic country stories. They also reflect broader risk sentiment, and higher interest rate volatility generally pushes spreads wider. At the onset of the Middle East turmoil, for instance, we saw sovereign spreads become more closely correlated with energy prices and expectations for European Central Bank rate hikes.

But high deficits – the "Bad"– and existing fiscal imbalances have made some countries more vulnerable than others, and these factors are increasingly shaping the dynamics of sovereign spreads. The "Bad" has re-entered the scene and is once again dominating the narrative in parts of the European government bond market.

While France is already being singled out as a risk factor with the potential to change the broader outlook for European sovereign debt, Europe's busy election calendar suggests that idiosyncratic drivers could become more important overall. Spain goes to the polls later this month, and Italy will have to hold legislative elections before the end of next year. Finland will also hold

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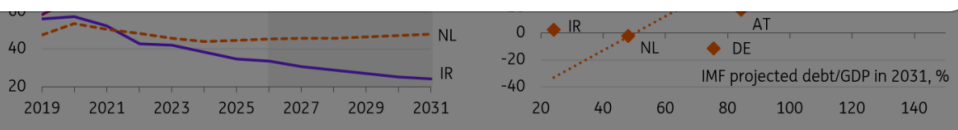
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Source: IMF, Refinitiv, ING

France – Facing the very "Bad", the one that could change it all

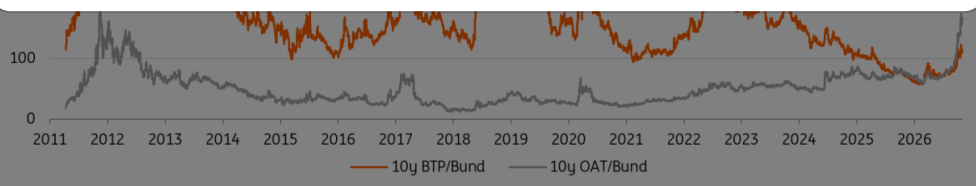
Moody's recently affirmed France's last remaining double-A rating but maintained a negative outlook. The underlying assumption is that a 2027 budget containing at least some fiscal consolidation

will eventually pass, even if this requires the use of a decree. That would represent a step in the right direction and could offer French government bond spreads some welcome relief going into the new year.

Beyond that, however, a “significant and sustained fiscal effort” will still be required. The outlook is clouded by the 2027 presidential election, with the two voting rounds on 18 April and 2 May. The far-right’s Marine Le Pen, the current leading contender, could subsequently call snap legislative elections in the summer in an attempt to break the parliamentary deadlock.

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Source: Refinitiv, ING

The consolidation plans presented so far by Le Pen appear unrealistic, while the French public does not yet seem prepared to support the scale of adjustment that would ultimately be required. Against that backdrop, the market is likely to continue demanding a sizeable political risk premium. In the absence of positive

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catalysts, we see a 10-year OAT-Bund spread in the area of 150bp as a floor during the period of electoral uncertainty.

The tail risk is that public discontent instead translates into stronger support for the far left and Jean-Luc Mélenchon, whose proposals have included highly controversial ideas such as cancelling French debt held by the Bank of France. A greater probability being attached to such an outcome could push the 10-year OAT-Bund spread beyond 200bp.

More broadly, the absence of a credible multi-year consolidation plan, combined with the possibility of another hung parliament, w
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themselves to be sensitive to French election risk in the past.

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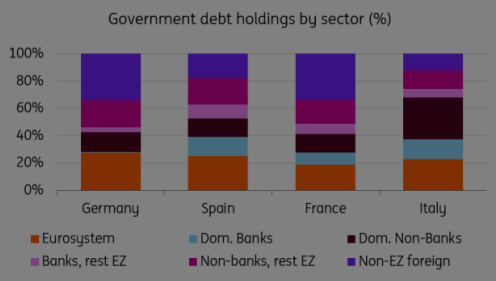
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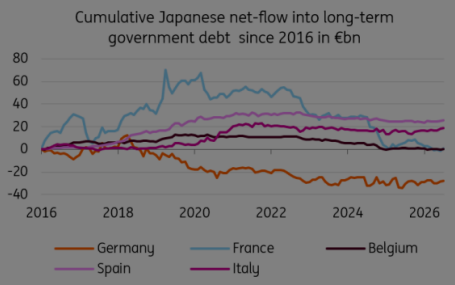
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French has a large foreign investor base which has looked fickle around elections





Source: Bank of Spain, Bank of Japan, ING

The ECB can cap spreads, but does it want to?

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sovereign spreads.

A more targeted option would be to suspend quantitative tightening by resuming reinvestments. The ECB could even frame such a move as part of a broader adjustment of its balance-sheet policy, particularly as excess liquidity in the banking system approaches levels at which demand for central bank refinancing is expected to become more important. In theory, liquidity operations should take over at that stage. But as long as borrowing from the ECB continues to carry some stigma for banks, ending QT and resuming reinvestments could address two issues at once: easing

pressure on sovereign bond markets while also slowing the decline in excess liquidity.

If turmoil were to spread further beyond France and threaten the transmission of monetary policy, the ECB could ultimately deploy its Transmission Protection Instrument. TPI comes with eligibility considerations, including compliance with the EU fiscal framework and debt sustainability, both of which would clearly matter in the case of France, although the ECB retains a degree of discretion in its assessment.

We think the bar for the ECB to actively intervene is high,

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Source: Refinitiv, rating agencies, ING

Germany hides in a temporary safe haven from the “Bad”

Germany sits at the opposite end of the spread spectrum from France. Bunds have reasserted their traditional role as a safe haven during the turmoil in French government bonds. During the geopolitical tensions at the start of the Iran conflict, evidence of such safe-haven demand had been fleeting. This time, the richness

of Bunds looks more persistent because the turmoil goes to the heart of some of the monetary union's longstanding vulnerabilities.

Yet the structural forces that had previously driven the cheapening of German government bonds have not disappeared.

Bond supply is likely to increase again as the government continues to roll out its investment and defence spending agenda. The German Finance Agency's funding head has indicated that gross bond funding could exceed €400bn next year, around €50bn more than this year and making Germany the largest issuer of the union. Higher redemptions mean that the increase in net issuance is

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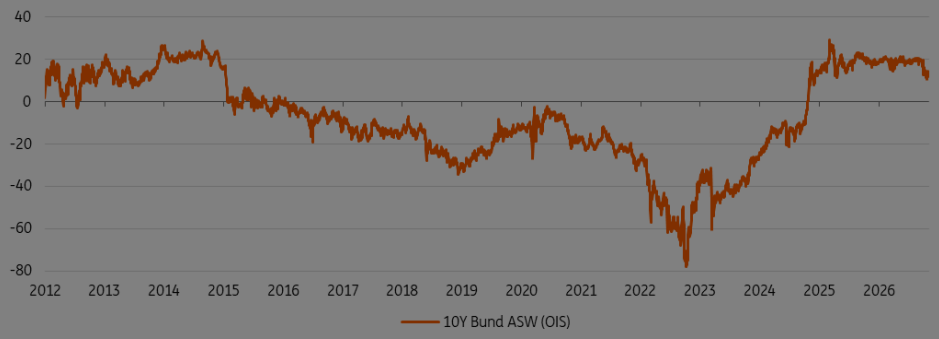
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10y Bund safe haven dynamics outweigh structural issues for now



Source: Refinitiv, ING

2027, likely a showdown in two parts

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